

Meridian Parts

European service-hub expansion | board decision report

Decision basis: 2025 shipped sales and returns known through 31 January 2026; frozen source room collected 27 September 2026 UTC. All client exports and hub assumptions are synthetic. World Bank and ECB series are archived public snapshots.

Recommendation

Fund a staged two-hub pilot for **CZE + ESP**, with year-zero capex of **EUR 225,000** and **5 FTE**, subject to the 90-day gates below. The base policy case implies EUR 198,099 annual incremental contribution and 1.14-year simple payback; this is a planning estimate, not a proven causal effect.

The choice is supported by trade-off analysis: the selected pair is the highest base-case feasible alternative. It gives up the lower capex of single-hub options in exchange for more modeled contribution. The strongest alternative is **POL+ESP** at EUR 186,329 annual incremental contribution. Defer remains valid if the pilot cannot validate the volume uplift/savings assumptions or the stress case is judged more credible.

Executive diagnosis

Market / operating base	2025 net sales	Contribution	Margin	Units	Returned units
Spain	EUR 850,839	EUR 421,900	49.6%	13,931	252
Czechia	EUR 815,307	EUR 397,335	48.7%	13,733	288
Poland	EUR 761,890	EUR 356,494	46.8%	13,163	180
Netherlands	EUR 697,733	EUR 315,644	45.2%	12,576	144
France	EUR 632,231	EUR 276,271	43.7%	11,880	144
Germany	EUR 625,792	EUR 262,366	41.9%	12,153	73

Operationally, contribution is concentrated in the larger EUR markets, while POL/CZE carry the only non-EUR translation exposure. Population and GDP per capita provide context only; they are not direct evidence of replacement-assembly demand.

Accounting and evidence reconciliation

The order extracts contain 1,328 rows. Exact repeated rows were collapsed, then the highest numeric revision per order_id was retained; 43 post-revision rows were excluded for status/test/date rules. Free or zero-price shipments were retained (12). Returns were deduplicated by highest revision per return_id, added across legitimate IDs, and limited to eligible linked orders received by the inclusive cutoff. 1 orphan return(s) were quarantined and 1 late return(s) excluded; neither was joined by guess.

For EUR orders the rate is 1. For PLN and CZK, each sale and its summed refund use the original sale month's arithmetic mean of available ECB business-day reference observations, quoted as local currency units per EUR. Individual monetary components are half-up rounded to cents before summation. Gross sales are booked sales after discount; cash can differ because refunds/settlement timing and FX differ; contribution further subtracts net COGS and nonrefundable fulfillment.

Core evidence links: [S-pop] archived World Bank population snapshot; [S-gdp] archived World Bank GDP-per-capita snapshot; [S-ecb] archived ECB historical FX archive; [S-client] synthetic source-room exports, dictionary and policy. Full URLs, hashes, periods, units and retrieval metadata are in the source register and workbook.

Market context

Market	Pop 2022	Pop 2024	Change	GDP pc 2022	GDP pc 2024
Germany	83,177,813	83,516,593	0.4%	\$50,507	\$56,104
France	68,184,457	68,551,653	0.5%	\$40,989	\$46,103
Netherlands	17,700,982	17,993,485	1.7%	\$59,123	\$67,465
Poland	36,821,749	36,559,233	-0.7%	\$18,891	\$25,104
Czechia	10,672,118	10,905,028	2.2%	\$28,282	\$31,828
Spain	47,786,102	48,848,840	2.2%	\$30,319	\$35,327

The archived World Bank responses carry a 2026-07-13 last-updated metadata vintage. The measures are descriptive context in current US dollars and persons; they should not be read as demand forecasts, market shares or causal evidence for a hub.

Scenario comparison

Option	Low	Base	High	Stress	Capex	FTE
CZE+ESP	EUR 64,619	EUR 198,099	EUR 331,580	EUR 32,180	EUR 225,000	5
POL+ESP	EUR 58,562	EUR 186,329	EUR 314,096	EUR 29,264	EUR 240,000	6
POL+CZE	EUR 56,856	EUR 178,995	EUR 301,134	EUR -78,570	EUR 205,000	5
NLD+ESP	EUR 43,994	EUR 166,931	EUR 289,869	EUR 107,630	EUR 270,000	6
NLD+CZE	EUR 42,289	EUR 159,598	EUR 276,907	EUR -203	EUR 235,000	5
NLD+POL	EUR 36,232	EUR 147,828	EUR 259,423	EUR -3,119	EUR 250,000	6
FRA+ESP	EUR 13,687	EUR 129,849	EUR 246,012	EUR 73,105	EUR 340,000	7
FRA+CZE	EUR 11,981	EUR 122,516	EUR 233,050	EUR -34,729	EUR 305,000	6
FRA+POL	EUR 5,924	EUR 110,745	EUR 215,566	EUR -37,645	EUR 320,000	7
DEU+CZE	EUR -2,549	EUR 105,472	EUR 213,492	EUR -51,410	EUR 375,000	7

Hard constraints are EUR450,000 year-zero capex, seven FTE, and at most two hubs. Annual incremental contribution excludes capex; payback is simple undiscounted capex divided by positive annual contribution. Pairs add country arithmetic with no synergy. The stress column is the policy's joint stress, not a probability forecast.

What changes the decision

The recommendation should be reopened if measured pilot evidence cannot support the assumed uplift/savings run-rate; if actual capex or staffing breaches the hard budget; if return behavior or PLN/CZK FX makes the defined stress case the more credible operating case; or if a stronger alternative becomes demonstrably executable at lower risk. Under the defined stress, NLD+ESP is the strongest alternative at EUR 107,630 annual incremental contribution, versus EUR 198,099 for the selected base leader. Those are observable gates, not claims about statistical certainty.

90-day implementation and KPI plan

Timing / owner	Action and dependency	Decision gate / KPI
Days 0–15 COO + Finance	Confirm site shortlist, carrier lanes, labor plan, capex quotes and local tax/returns process. Dependency: vendor quotes and legal/finance review.	Gate 1: capex $\leq$ EUR450k, FTE ≤ 7 , named owners. KPI baseline: order-to-delivery, fulfillment EUR/order, return rate, contribution/order.
Days 16–45 Operations + Commercial	Run controlled service-level and routing pilot for selected countries using existing central-hub flows; instrument promised vs actual delivery, conversion/volume, and savings per unit.	Gate 2: measured uplift and savings trend toward base assumptions; no material service-level regression. KPI: on-time %, lead-time p50/p90, incremental units, saving EUR/unit.
Days 46–75 Finance + Data	Reconcile pilot invoices/refunds, FX translation and COGS recovery; stress-test return and FX cases; finalize staffing and launch readiness.	Gate 3: data-quality sign-off; KPI: refund rate, returned units, net sales, net COGS, contribution margin, FX variance.
Days 76–90 Board sponsor + COO	Approve, resize, defer or switch to strongest alternative based on observed run-rate and constraints.	Go/no-go: fund only if evidence supports the selected case and risk controls; otherwise defer or choose the next feasible option.

Risks and mitigations

Demand uplift risk: validate incrementality during the pilot and hold capex until Gate 3. Return-rate risk: use return rate and returned units as explicit stop metrics; do not assume every return recovers product cost. FX risk: preserve sale-month ECB translation and monitor PLN/CZK variance; the stress case is a guardrail. Execution risk: stage staffing and site commitments; use the hard FTE/capex limits. Evidence risk: synthetic client inputs and no interviews mean this is a decision support model, not field validation.

Limitations and reproducibility

No customer interviews, live account access, demand elasticity study, competitor data, labor quotes, tax/legal review, actual transaction FX, or discounted cash flow were available. The raw source room is saved under evidence/raw with SHA-256 hashes and original public URLs. Run `python3 scripts/build_deliverables.py` to regenerate metrics.json, the XLSX, this PDF and the PPTX from saved inputs.

Source register identifiers: S-pop = population.json; S-gdp = gdp-per-capita.json; S-ecb = ecb-history.zip/csv; S-client = synthetic source-room files. See `deliverables/source-register.csv`.